

MGT 1003

An Easy, Illustrated Exam Study Guide

made by khalifa

Business • Management Functions • POLC • Planning • Organizing • Controlling

Hello. Please do not worry. This booklet was written to feel like a kind friend sitting next to you before the exam. We will walk slowly. We will use pictures, tiny stories, and memory tricks. Read it once for understanding. Read the yellow boxes again the night before.

Week 1
Business basics

Week 1-2
Management + structure

Week 3
Planning

Week 4
Controlling

What this guide covers

- What a business is, profit, for-profit vs non-profit
- Business structures vs business types (with UAE / GCC / world examples)
- The 4 key business functions: Finance, HR, Marketing, Operations
- The business life cycle
- What management is, why it matters, levels of managers
- POLC: Planning, Organizing, Leading, Controlling
- Organizational structures (Functional, Divisional, Matrix, Flat...)
- Planning process, types, SWOT, SMART, Vision & Mission
- Decision-making theories
- Controlling process + exam-style practice with answers
- FULL tables: 10 management types, structure-vs-type rows, 4 planning types, Fayol, class activity answers

GENTLE STUDY METHOD

1) Read the simple sentence in blue. 2) Look at the picture. 3) Learn one example. 4) Try the practice question. That is enough for a strong exam answer.

1. What is a Business?

The starting point of the whole course

A business is simply a group of people who organize work to produce goods or services. They do commercial, industrial, or professional activities.

In one line: a business exists to make something useful — a product or a service — in an organized way.

Two purposes of business

Purpose	What they want	Easy example
For-profit	Profit. Money left after costs.	Carrefour, Apple, Emirates NBD
Non-profit	A mission. Help people or society.	Dubai Cares, Red Crescent, Qatar Foundation

EXAM FORMULA — write this exactly

Profit = Income – Cost. If income is bigger than cost, you have profit. If cost is bigger, you have a loss. Non-profits still need money (donations, grants, fees) — they just do not give leftover profit to owners. They put it back into the mission.

Can a business operate without money?

Not for long. Even a tiny stall needs money for stock, rent, or time. Barter can work for a moment, but most businesses need cash to pay people and buy materials. Non-profits last because someone funds them: donors, government, members, or fundraising events.

2. Business Structures vs Business Types

This comparison table appears often in exams

Structure = the legal shape. Who owns it? Who is liable if it fails? How is it taxed?

Type = the purpose / model. Is it trying to make profit, help society, or both?

REMEMBER WITH A HOUSE

Structure is the building (villa, apartment, tower). Type is why the building exists (home, clinic, shop). Same idea: how it is built vs what it is for.

Structures vs types at a glance

Aspect	Structures	Types
Definition	Legal configuration: ownership, liability, tax	Category by purpose, industry, operating model
Examples	Sole prop, Partnership, LLC, C Corp, S Corp, LLP, Holding, Cooperative	For-profit, Non-profit, B Corp, S Corp, C Corp, Cooperative
Legal requirements	Specific rules to form and operate that legal shape	May depend on purpose and industry
Liability	Unlimited or limited — decided by the structure	Type does not, by itself, set liability
Ownership	Sole owner, partners, members, or shareholders	Not fixed by type, but type can shape the model
Taxation	Pass-through or double tax — decided by structure	Not fixed by type alone
Operational focus	How the business is managed and run legally	The primary goals and daily activities
Purpose of the word	HOW it is legally organized	WHAT it does and WHY it exists

The 10 structures you should be able to name

Structure	In very simple words	Liability	Examples (UAE / GCC / World)
Sole Proprietorship	One person owns everything.	Unlimited — owner pays debts	Local grocery • small shops • freelancers
Partnership	Two or more owners share profit and loss.	Usually unlimited (GP)	Al Tamimi • Baker McKenzie • PwC
LLP	Partnership, but partners are protected.	Limited	Binghatti Holding • Almarai • Microsoft*
LLC	Flexible company. Owners called members.	Limited	Emaar Properties LLC • Google LLC
Corporation	Separate legal person. Owners = shareholders.	Limited	Emirates NBD • Saudi Aramco • Apple
Holding Company	Owens shares in other companies.	Depends on form	Mubadala • QIA • Berkshire Hathaway
Cooperative	Owned by members for mutual benefit.	Usually limited	Union Coop • Al Meera • REI
B Corp	For-profit + legal duty to help society / planet.	Limited	Marmalade Fish • Thmanyah • Patagonia

Structure	In very simple words	Liability	Examples (UAE / GCC / World)
Nonprofit	Mission first. Profit is reinvested, not paid out.	N/A (no owners taking profit)	Dubai Cares • Qatar Foundation • Red Cross
SOE	Owned by the government, runs like a business.	State-backed	DEWA • Saudi Electricity • CNPC

*Lecture slides list some global firms as examples of forms used in those markets. In an exam, use the idea, not a legal debate.

Business types (purpose models)

Type	Primary goal	Easy picture
For-profit	Make profit	A shop that wants leftover money
Non-profit	Serve a social cause	A charity school or hospital
B Corp	Profit AND positive impact	Patagonia: sell jackets + protect nature
S Corp	Profit with special US tax status	Avoids double tax (US idea)
C Corp	Standard corporation, can be taxed twice	Big listed companies
Cooperative	Mutual benefit for members	Farmers sharing a warehouse

EXAM TRAP

S Corp and C Corp are tax / legal forms (structures). For-profit / non-profit / B Corp are types (purpose). If the question says 'legal ownership and liability' → structure. If it says 'goal of the organization' → type.

Extra structure details examiners like

Partnership kinds: General Partnership (GP) — every partner can be fully liable. Limited Partnership (LP) — at least one general partner runs it and is fully liable; limited partners mostly invest and have limited liability.

S Corp vs C Corp (US idea from the slides): C Corp is the standard company and can face double taxation (company tax + shareholder tax). S Corp elects a special tax status so profit usually passes to owners once (pass-through). Both still have limited liability.

LLC vs Corporation in one line: LLC is flexible and the owners are called members. A corporation is a separate legal person owned by shareholders and is better at raising large capital.

Holding company: does not need to sell products itself. It owns shares in other companies (Mubadala, QIA, Berkshire Hathaway).

3. Business Functions + Life Cycle

Finance, HR, Marketing, Operations

Think of a company as a body. Each function is an organ. If one organ fails, the whole body feels it.

Function	What it does, in human language	HCT program link
Finance / Accounting	Looks after money: budgets, bills, investments, reports. Makes sure the business can pay and grow.	Finance / Accounting
Human Resources (HR)	Looks after people: hire, train, pay, motivate. Builds a skilled, happy workforce.	HRM
Marketing / Sales / Customer	Finds customers and keeps them. Research, ads, selling, service.	Marketing
Operations / Production / Logistics	Makes the product or delivers the service every day. Quality, speed, supply chain.	Logistics & SCM

Why functions matter at each life-cycle stage

Stage	Mood of the company	Which functions shout the loudest?
Startup	Just born. Must survive.	Operations + Marketing + Finance (make it, sell it, don't run out of cash)
Growth	Getting bigger fast.	Scale operations, bigger marketing, extra funding
Maturity	Famous and stable.	Optimize ALL functions. Keep quality and profit.
Decline	Sales slipping.	Cut costs, rethink strategy, innovate to come back

TINY STORY

A new café in Sharjah (startup) needs a good kitchen (operations), a nice Instagram page (marketing), and enough cash for rent (finance). Later, if it opens 10 branches (growth), HR must hire many baristas. When it is famous (maturity), controlling quality becomes the main job.

4. What is Management?

Memorize the official sentence

WRITE THIS DEFINITION

Management is the process of planning, organizing, leading, and controlling resources to achieve organizational goals efficiently and effectively.

Efficiently = doing things with little waste (fast, cheap, tidy).

Effectively = doing the right things (actually reaching the goal).

You can be efficient and still fail (you bake 100 cakes nobody wants). You can be effective but messy (you reach the goal but waste money). Good management wants both.

Why management matters

- 1. Helps the organization actually reach its goals.
- 2. Finds mistakes early (deviations from the plan).
- 3. Improves efficiency by watching performance.
- 4. Motivates people to do their best.
- 5. Helps the company adapt when the world changes.

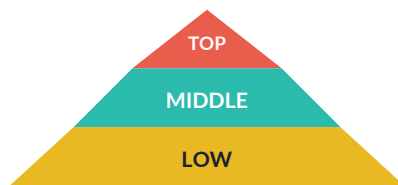
The 10 types of management from class (learn the name + one line)

Type	What this manager looks after
1. Strategic Management	Long-term goals and the big strategy of the whole company.
2. Operations Management	Day-to-day production / service processes.
3. Financial Management	Money: budgets, cash, investment, reports.
4. Human Resource Management	Hiring, training, paying and looking after staff.
5. Marketing Management	Promoting and selling products or services.
6. IT Management	Technology, systems, data and software.
7. Project Management	Planning and finishing a specific project on time.
8. Supply Chain Management	The flow of goods from supplier to customer.
9. Risk Management	Finding dangers early and reducing them.
10. Change Management	Helping people accept and live with organizational change.

WHY SOME NAMES WERE A DIFFERENT COLOR IN CLASS

Finance, HR, Marketing and Operations appear TWICE in the course: once as a BUSINESS function (the department) and once as a TYPE of management (the manager's job). Strategic / Project / Risk / Change are mainly management types, not a basic 'business function' in Week 1. That is the coloring puzzle.

Levels of management



- **Top: CEO, Board, MD**
Big decisions. New markets. Vision.
- **Middle: Dept managers**
Turn strategy into department plans.
- **Low: Supervisors**
Daily tasks, shifts, coaching the team.

QUICK PRACTICE — answers

New departmental policy → Middle. Expanding into a new market → Top. Scheduling daily tasks → Low / first-line. Memory: Top thinks years. Middle thinks months. Low thinks today.

Henri Fayol (history, short)

In 1916 Henri Fayol listed five functions: Planning, Organizing, Commanding, Coordinating, Controlling. Later Commanding + Coordinating became Leading, so the modern model is 4 letters: POLC. Failure stories that drifted from this discipline: Kodak, Enron, Blockbuster. Success stories that used the cycle: Google, Amazon, Netflix.

Week 1 learning outcomes (tick these off)

Explain what management is.

Identify the three management levels.

Explain the POLC model.

Describe why management is important.

Recognize the role of managers in modern organizations (including the AI discussion: AI can analyse and plan; it cannot easily build trust or motivate like a human leader).

5. POLC – the 4 Management Functions

The heart of MGT 1003



POLC is a CYCLE, not a one-way street

Plan → Organize → Lead → Control → then plan again • they also mix together

Function	Simple meaning	Daily-life picture
Planning	Decide WHERE we go and HOW.	You plan a trip to Dubai: budget, mall, time.
Organizing	Who does what? With which tools?	You assign seats in the car and pack bags.
Leading	Talk, inspire, guide people.	You keep friends cheerful when traffic is bad.
Controlling	Did we arrive as planned? Fix it.	You check the time and change the route.

Important exam idea: POLC is sequential (usually plan first), it is a continuous cycle, and the functions cross each other. Controlling can send you back to planning.

Leading – everything the slides actually say

Leading is directing and motivating employees to achieve organizational goals. It involves communication, motivation, and leadership.

Class discussion on AI: AI can help managers with data analysis, generating ideas, planning support, and organizing information. Harder for AI: motivating employees, building trust. Organizations will still need human managers and leaders because people follow people, not only dashboards.

6. Organizing • Organizational Structures

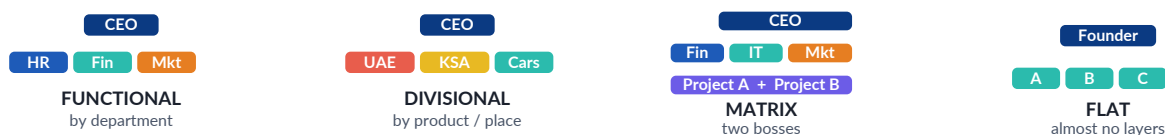
How the company is drawn on paper

An organization is any group with a common purpose (business, charity, government, even a club). It needs resources, and it needs a structure so work does not become chaos.

Key resources (7 to remember)

Human • Physical (buildings, machines) • Financial • Intellectual (patents, brand) • Technological • Informational • Natural

Organizational structure = how tasks, responsibility, and authority are arranged so the goal can be reached.



The structures most likely to be examined

Structure	How it is cut	Good at	Painful because	Examples
Functional	By specialty: HR, Finance, Marketing...	Clear roles, deep skill, efficient	Silos. Slow to change.	P&G, Microsoft
Divisional	By product, service, or country	Focus + accountability	Duplicate teams. Rivalry.	GE, J&J;
Matrix	Function AND project at once	Flexible, share experts	Two bosses. Conflict.	IBM, Philips
Flat / Horizontal	Very few layers	Fast decisions, empowerment	Role confusion, tired bosses	Valve, Zappos
Hierarchical	Classic pyramid of bosses	Clear control	Slow, lots of layers	Traditional banks / armies
Network	Center + partner firms	Flexible, light	Hard to control partners	Many tech firms
Team-based / Project	Work lives in teams / projects	Collaboration, innovation	Can feel unstable	Startups, agencies

MATCHING GAME FROM CLASS

Want more CONTROL? Hierarchical / Functional. Want INNOVATION? Team-based, Flat, Network. Want MULTINATIONAL product/country focus? Divisional. Want both expertise AND projects? Matrix.

Matrix in one picture in your head: a finance person belongs to the Finance department (vertical) AND to Project B (horizontal). Two arrows point at the same person. That is the power and the headache.

Write these characteristics if the exam asks 'describe'

Structure	Characteristics (from slides)
Functional	Specialization + clear hierarchy + efficient operations. Clear roles and expertise. Risk: silo mentality and low flexibility.
Divisional	Cut by product, service or geography. Each division is almost its own company. Focused expertise and accountability. Risk: duplicated resources and conflict.
Matrix	Dual reporting lines and project teams. Flexibility and resource sharing. Risk: complexity and conflict.
Flat	Few levels, broad span of control. Fast decisions and empowerment. Risk: role ambiguity and overburdened managers.
Network	Flexible and decentralized. A small centre plus many partner firms. Common in tech. Risk: weaker direct control.
Project / Team-based	Work is organized around a project or a team. Collaboration and innovation. Risk: less stability when the project ends.
Startups / scale-ups	The structure stays adaptable so the firm can grow and invent quickly. Often starts flat, then adds layers.

Class activity answers: 'which contemporary structure is this picture?'

Picture in the slide	Best label
Co-founders on top, then developer / designer / sales / marketing / support / accounts in ONE row	Flat / startup structure (almost no middle layer)
Many computers / partners linked to a centre hub	Network structure
CEO on top, then Project 1 / 2 / 3, each with marketing + sales + copywriter	Project-based structure
Leadership on top, then Team 1 / 2 / 3, then job positions under each team	Team-based sitting under a hierarchy (or hierarchical with teams)

7. Planning Function (the P in POLC)

Biggest lecture — learn the steps + the 4 types

DEFINITION

Planning is the process of setting objectives and determining the best way to achieve them (Koontz & O'Donnell).

Apple: After Steve Jobs returned, planning focused on design, user experience, and an ecosystem (iPhone + iTunes/App Store + later services). That long-term plan helped Apple become one of the most valuable companies.

Netflix: Planned a shift from posting DVDs to streaming. They invested in technology, original shows, and data about what people watch. Planning turned a rental shop into a global entertainment company.

What you need to plan a business: a goal, information about customers and costs, options, a chosen path, people/money to do it, and a way to check progress.

Steps of the planning process

- 1. Set / establish objectives — what do we want?
- 2. Develop premises — what do we assume about the future?
- 3. Identify alternatives — what roads could we take?
- 4. Evaluate alternatives — good points and bad points.
- 5. Select the best alternative — choose one road.
- 6. Implement the plan — actually walk the road.
- 7. Follow-up / review — is it working? adjust.

The 4 types of planning — FULL exam table

Aspect	Strategic	Tactical	Operational	Contingency
Time	3–5 years or more	1–3 years	Day-to-day up to 1 year	When a surprise happens
Purpose	Overall direction and long-term goals	Turn strategy into department actions	Keep daily work running smoothly	Respond well to unexpected events
Scope	Whole organization	One department / function	Single tasks and activities	Whole firm, but focused on a crisis
Who decides	Top: CEO, Board	Middle: heads, project managers	Low: supervisors	Top + middle, with specialist input
Examples	Vision, mission, 5-year goals, enter a country	Campaign, product launch, department plan	Shifts, daily schedule, routine ops	Disaster recovery, crisis plan
Flexibility	Low — hard to change	Medium	High — change quickly	Must stay adaptable
Focus	External: market, competitors, trends	Internal: resources and short goals	Internal: efficiency and today's problems	Risk, readiness, response
Evaluated by	Market share, long-term growth	Did the project / department hit its goal?	Daily metrics and task completion	How well we recovered

Advantages of planning (write all 3)

- Provides direction
- Reduces uncertainty
- Facilitates decision-making and encourages innovation

Disadvantages of planning (write all 4)

- Time-consuming
- Costly
- Can be inflexible
- May lead to overconfidence

Another wording of the planning steps (from the slide diagram – same idea): Establishment of objectives → Developing premises → Evaluating and selection of alternatives → Formulating derivative (smaller) plans → Securing cooperation and participation → Review and follow-up.

Advanced planning tools – SWOT, SMART, Vision & Mission

S Strengths

INSIDE the company • what we do well

e.g. Strong brand, skilled staff, cash

W Weaknesses

INSIDE the company • what holds us back

e.g. Slow systems, high costs, skill gaps

O Opportunities

OUTSIDE the company • chances to grow

e.g. New market, new tech, new trend

T Threats

OUTSIDE the company • risks

e.g. New competitor, recession, new law

SMART goals turn a wish into a plan:

Letter	Means	Fix this weak goal: "Increase sales"
S Specific	Exactly what?	Increase espresso sales in the Dubai Mall café
M Measurable	How will we know?	...by 15%
A Achievable	Can we really?	...with 2 extra baristas and a combo offer
R Relevant	Does it serve the mission?	...because café profit funds a second branch
T Time-bound	By when?	...by 31 December

Vision = the dream on the horizon (where we want to be).

Mission = why we exist today and how we work (our purpose).

Class tick-box: vision or mission?

Statement	Answer
To be the world's most customer-centric company, where customers can find and discover anything they might want to buy online. (Amazon)	VISION – future picture
To organize the world's information and make it universally accessible and useful. (Google)	MISSION – purpose / what they do
To accelerate the world's transition to sustainable energy. (Tesla)	MISSION (also used as vision – purpose + future direction)
To create a better everyday life for the many people. (IKEA)	VISION
To inspire and nurture the human spirit – one person, one cup, and one neighborhood at a time. (Starbucks)	Both tones; slides treat the long form as mission/vision together. Safer exam label: VISION if 'where we want to be', MISSION if 'how we serve people every day'.

Statement	Answer
To bring inspiration and innovation to every athlete in the world. (Nike)	VISION

If two answers feel possible, write: 'This is written as a vision because it paints a future picture' or 'This is a mission because it states the daily purpose.' The examiner wants that reason.

Company	Vision (dream)	Mission (purpose now)
Amazon	Earth's most customer-centric company	Lowest prices, best selection, convenience
Nike	Inspiration & innovation for every athlete	Expand human potential through sport
Apple	Best products + leave the world better	Best user experience via hardware, software, services
Disney	Leading entertainment & information	Entertain, inform, inspire through storytelling
Starbucks	Inspire the human spirit, one cup at a time	Same idea, lived neighborhood by neighborhood

Integrated advanced planning (the order they want)

- 1. Write Vision and Mission (the North Star).
- 2. Do SWOT (see the weather around the star).
- 3. Set SMART goals that fit both.
- 4. Implement and monitor.
- 5. Re-do SWOT later and adjust the SMART goals.

8. Decision Making inside Planning

How managers choose a road

Decision making = choosing the best option among alternatives so the organization can reach its goals.

Four theories

Theory	In one breath
Rational	Collect ALL information, compare ALL options, pick the perfect one.
Bounded rationality	Time and info are limited, so we pick a 'good enough' option.
Intuitive	Gut feeling, experience, especially when we must move fast.
Evidence-Based Management (EBM)	Use the best available evidence (data, research), not old habits or only intuition. Linked to Luthans.

EBM decision steps

- 1. Identify the problem
- 2. Gather information / evidence
- 3. Generate alternatives
- 4. Evaluate alternatives
- 5. Choose the best one
- 6. Implement
- 7. Monitor and evaluate

Notice: these steps look almost identical to the planning process. That is not an accident. Planning IS a chain of decisions.

Types of decisions

Type	Horizon	Example from class
Strategic	Long, whole company	Enter a new international market; 5-year growth plan
Tactical	Medium, one department	Launch a marketing campaign; choose a CRM system
Operational	Daily	Weekly staff schedule

Class activity answers – what type of decision?

Situation	Type
Expanding into a new international market	Strategic
Weekly staff schedule for a retail store	Operational
Launching a new marketing campaign	Tactical
Developing a five-year growth plan	Strategic
Choosing a new CRM / customer software	Tactical (sometimes called managerial)
Café is losing customers: menu or service? Use reviews, sales data, competitor check	EBM – gather evidence, then choose

9. Controlling Function (the C in POLC)

Watch, compare, correct

DEFINITION

Controlling is the process of monitoring performance, comparing it with goals, and taking corrective action as needed (Koontz & O'Donnell).

If planning draws the map, controlling looks at the GPS: 'Are we still on the road?'

Why controlling matters

- Ensures goal achievement — stay on track.
- Identifies deviations — see the gap early.
- Improves efficiency — adjust before waste grows.

The 4 steps of the control process

1. Set standards

2. Measure

3. Compare

4. Correct

Then loop back: after you correct, you measure again.

Step	What you do	Café example
1. Define standards	Write the target.	Each barista should serve a drink in 3 minutes.
2. Measure performance	Collect real numbers.	Timer + mystery shopper this week.
3. Compare / assess	Target vs reality.	Average is 5 minutes. Gap = 2 minutes.
4. Corrective action	Fix the cause.	New layout + short training. Then measure again.

Good controlling vs fake controlling

Good controlling finds the root cause and helps. Fake controlling ignores the problem, or punishes without understanding.

Scenario	Good?	Why
Sales miss target → weekly reviews + training	YES	Measure + correct the skill gap
Costs too high → ignore and hope	NO	No monitoring, no action
Missed deadlines → 1-to-1 to find the cause + support	YES	Root cause + help
New software is slow → jump back to old system, no investigation	NO	Correcting blindly
Bad product reviews → quality review + change process	YES	Standard + measure + fix
Low morale → only a harsh attendance rule	NO	Treats a symptom, not the cause

Worked example from class: the college welcome event

Students plan games, a speech and refreshments in one month. On the day they must CONTROL the event. Map each monitoring task to a control step:

Event task	Which control step?
1. Pre-event checklist (tables, food, speaker, games ready)	Define standards + measure before start (are we ready vs the plan?)
2. Real-time monitoring on the day	Measure performance while work is happening
3. Schedule adherence (speech at 11:00, games at 11:30)	Compare actual time vs the standard timetable
4. Issue resolution (no cups, late speaker)	Take corrective action immediately
5. Attendee feedback	Measure again – customer/guest standard
6. Post-event review	Assess fulfillment + decide corrections for next time (the loop)

REMEMBER

Controlling is not 'being strict'. Controlling is: target → number → gap → fix. If there is no standard, or no measurement, or no action, it is not controlling.

10. Exam Practice + Kind Answers

Try to answer before you peek

Q1. Define a business and give the profit formula.

A business is an organization engaged in commercial, industrial, or professional activities to produce goods or services. Profit = Income – Cost.

Q2. What is the difference between a business structure and a business type?

Structure is the legal form (ownership, liability, tax) – e.g. LLC or Corporation. Type is the purpose model – e.g. for-profit, non-profit, B Corp.

Q3. Give one advantage and one disadvantage of a sole proprietorship.

Advantage: simple to start, owner keeps all profit. Disadvantage: unlimited personal liability for debts.

Q4. Why can a non-profit still 'last' without distributing profit?

It receives donations, grants, membership fees or government support, and reinvests leftover money into the mission.

Q5. Write the definition of management.

The process of planning, organizing, leading and controlling resources to achieve organizational goals efficiently and effectively.

Q6. Which management level expands into a new country? Which one writes tomorrow's staff roster?

New country = Top. Roster = Low / first-line / supervisory.

Q7. List the POLC functions and say whether the process is only one-way.

Planning, Organizing, Leading, Controlling. It is sequential AND a continuous cycle; the functions also interact.

Q8. Compare Functional and Divisional structures.

Functional groups people by specialty (Finance, HR...) – efficient and expert, but silos. Divisional groups by product or region – focused and accountable, but duplicates resources.

Q9. What is a matrix structure's main risk?

Dual reporting (two bosses) creates complexity and conflict, even though it shares resources flexibly.

Q10. Name the 7 planning process steps.

Set objectives → develop premises → identify alternatives → evaluate them → select the best → implement → follow-up.

Q11. Classify: (a) 5-year growth plan (b) weekly roster (c) summer marketing campaign.

(a) Strategic planning / strategic decision. (b) Operational. (c) Tactical.

Q12. Turn 'improve customer service' into a SMART goal.

Raise our café customer-satisfaction score from 3.8 to 4.5 / 5 by 30 June, by training all staff in a 2-day service workshop. (Specific, measurable, achievable, relevant, time-bound.)

Q13. Is 'To organize the world's information and make it universally accessible' a vision or a mission?

Mission – it describes purpose and what the company does. A vision would be more of a future picture.

Q14. What does SWOT stand for, and which two letters are internal?

Strengths, Weaknesses, Opportunities, Threats. S and W are internal.

Q15. What is bounded rationality?

Managers cannot know everything, so they choose a satisfactory / 'good enough' option instead of a perfect one.

Q16. List the 4 control-process steps.

Define performance standards → measure performance → compare / assess the gap → take corrective action.

Q17. A manager sees high costs and does nothing. Is this controlling?

No. Controlling requires monitoring AND corrective action. Ignoring is the opposite.

Q18. Name four business functions and one job each does in the growth stage.

Finance raises extra funds. Marketing expands campaigns. Operations scales production. HR hires and trains more people.

Q19. List Henri Fayol's original functions and the modern 4.

Original: Planning, Organizing, Commanding, Coordinating, Controlling. Modern POLC: Planning, Organizing, Leading, Controlling.

Q20. Name the 10 types of management from the lecture list.

Strategic, Operations, Financial, HRM, Marketing, IT, Project, Supply Chain, Risk, Change.

Q21. Give two differences between an LLC and a Corporation.

LLC owners are members and the form is more flexible. A corporation is owned by shareholders, is a separate legal person, and is stronger for raising large capital. Both usually give limited liability.

Q22. What is the difference between GP and LP?

In a General Partnership every partner can be fully liable. In a Limited Partnership, limited partners have limited liability; at least one general partner remains fully liable and usually manages.

Q23. Why might a matrix fail in a tech company?

People report to a function boss and a project boss. Priorities clash, meetings multiply, and conflict rises if authority is unclear.

Q24. Why is a flat structure useful in a startup?

Few layers mean faster decisions, everyone talks to the founder, and people feel empowered. Risk: roles get fuzzy and the founder becomes overloaded.

Q25. Picture: CEO then Project 1, 2, 3 each with marketing + sales + writer. Which structure?

Project-based.

Q26. Picture: many partner boxes linked to one centre. Which structure?

Network.

Q27. Write 3 advantages and 4 disadvantages of planning.

Adv: direction, less uncertainty, better decisions/innovation. Disadv: time-consuming, costly, inflexible, overconfidence.

Q28. Map 'speech must start at 11:00' in a campus event to a control step.

That time is the performance standard. Watching the clock is measuring. Starting late is a deviation. Moving the games or shortening the speech is corrective action.

Q29. What evidence would EBM use if a café is losing customers?

Customer reviews, sales data by item/hour, competitor menus and service, maybe a short survey — then choose menu change or service training based on that evidence.

Q30. List the 7 organizational resources.

Human, Physical, Financial, Intellectual, Technological, Informational, Natural.

11. One-Page Memory Sheet

Read this the night before

Idea	Remember it like this
Profit	Income minus Cost
Structure vs Type	How it's built vs why it exists
Sole prop	One owner, full risk
LLC / Corp	The company is a shield — limited liability
Nonprofit / SOE / B Corp	Mission / government / profit+planet
4 functions of a business	Money, People, Customers, Making (Finance, HR, Marketing, Operations)
Life cycle	Start → Grow → Mature → Decline (or reinvent)
Management	POLC resources → goals, efficient + effective
Levels	Top strategy / Middle tactics / Low operations
POLC cycle	Plan, organize, lead, check, repeat
Functional	Departments of experts
Divisional	Mini-companies by product or country
Matrix	Two bosses
Flat	Almost no ladder
Planning steps	Goal → assumptions → options → judge → pick → do → review
Planning types	Strategic long / Tactical mid / Operational daily / Contingency just in case
SWOT	S+W inside, O+T outside
SMART	Specific Measurable Achievable Relevant Time-bound
Vision / Mission	Dream / Purpose
Decisions	Strategic big, Tactical department, Operational today
EBM	Use evidence, not only gut
Control steps	Standard → Measure → Compare → Correct
Fayol then POLC	Plan, Organize, Command, Coordinate, Control → P O L C
10 mgmt types	Strategic Ops Finance HRM Marketing IT Project SCM Risk Change
GP vs LP	GP = all fully liable. LP = some partners protected
S Corp vs C Corp	S = pass-through tax. C = can be taxed twice
Event control	Checklist=standard, clock=measure, late=gap, fix=correct

A KIND LAST WORD

You do not need perfect English. You need clear ideas, one definition, one example, and one advantage/disadvantage. Write in short sentences. If you forget a company name, invent a simple local example (a salon, DEWA, a campus café). The examiner is looking for understanding. You have that. Go gently, and good luck.